Farmers obtain agriculture inputs on credit or they take credit needed from the commission agents and input suppliers.

Goal of Doubling Farmers' Income Has Not Been Realized

Ever since Independence, India's agriculture programme strategy focused only on increasing production and productivity. The income of farmers was not a real policy goal. Only in 2014 did the government specifically mention the doubling of farmers' income by 2022 as a policy goal. However, programmes and policies did not change much to attain this goal.

Farmers' income is the net sales price farmers get of their agricultural produce minus the cost of cultivation incurred to produce the same. As their operational holdings are small—less than a hectares on average—they end up earning very low profits/income as such small landholdings only deliver a very small agri output for sales. Farmers' incomes in India on average are about one-fifth of other workers and about 30 per cent of the national average income.

The goal of doubling farmers' income has not been very well defined by the government—whether it meant gross value added (GVA) of crop sector would need to double or if the entire agriculture and allied sector GVA was aimed to be doubled or it was to be measured in terms of per capita income in nominal prices or in real prices. A committee appointed by the government for this purpose ended up recommending more government investment for production and productivity growth. The lack of a coherent policy and strategy has ensured that there is no yardstick to even measure progress made to achieve this. Farmers' income needs to be raised at least five times to bring about a worthwhile change in their lives. This requires a multipronged strategy. Primarily, it requires agriculture to be made into a business for farmers to make decent profits out of their hard work and enterprise.